

Video Transcripts

Week 9.2: Customer & Business Model Transformation

Video 1: Personalisation as a Strategic Capability

Personalisation has evolved from a marketing tactic into a strategic capability that drives revenue, customer engagement, and long-term competitive advantage. Traditional customer segmentation grouped people into broad demographic categories, whereas AI-powered personalisation focuses on understanding the needs and preferences of each individual in real time.

By analysing behavioural, contextual, and transactional data, AI enables organisations to personalise content, offers, timing, and communication channels at scale. Starbucks exemplifies this approach by using AI within its loyalty programme to generate highly personalised offers based on factors such as purchase history, location, and time of day. This results in more relevant customer interactions, higher offer redemption rates, and increased customer lifetime value.

Similarly, Myntra uses AI to personalise product discovery, style recommendations, and promotional content, creating a more tailored shopping experience that improves conversion rates and increases basket sizes. Industry research also shows that organisations leading in personalisation consistently achieve stronger revenue growth, with personalised experiences contributing significantly to business performance.

Personalisation is therefore no longer just a marketing feature but a strategic business capability. Organisations that invest in the data, AI, and governance required to deliver individualised experiences are better positioned to build stronger customer relationships, differentiate themselves from competitors, and achieve sustainable long-term growth.

Video 2: Platform Business Models with AI

Platform business models create value by connecting different groups, such as buyers and sellers or service providers and customers, rather than simply selling products or services. Unlike traditional linear businesses, platforms benefit from network effects, where the value of the platform increases as more participants join. AI strengthens this model by transforming every interaction into data that continuously improves the platform.

As platforms grow, AI analyses user interactions to enhance participant matching, optimise pricing, improve recommendations, and strengthen trust mechanisms. This creates a self-reinforcing cycle in which better AI attracts more users, and increased user activity generates richer data that further improves AI performance. Over time, this data advantage becomes increasingly difficult for competitors to replicate.

Swiggy illustrates this model by using AI to optimise delivery routes, forecast demand, personalise restaurant recommendations, and support dynamic pricing. Every customer order provides new data

that improves these capabilities, enabling faster deliveries, greater operational efficiency, and more relevant customer experiences while reinforcing the platform's competitive position.

AI is therefore central to the success of modern platform business models. By continuously strengthening network effects and improving the quality of interactions across the ecosystem, AI enables platforms to scale efficiently, create sustainable competitive advantage, and establish durable market leadership.

Video 3: Servitisation and Outcome-Based Models

Servitisation shifts organisations from selling products to delivering services and, ultimately, measurable business outcomes. Rather than focusing on product ownership, outcome-based models emphasise the results that products achieve, such as improved performance, higher efficiency, or guaranteed availability. This creates stronger customer relationships and aligns the provider's success with the customer's outcomes.

Rolls-Royce's "Power by the Hour" model illustrates this approach. Instead of selling jet engines outright, the company charges airlines based on engine usage while guaranteeing performance and uptime. This provides customers with predictable costs and reduced operational risk, while enabling Rolls-Royce to build long-term, value-driven partnerships.

AI is a key enabler of outcome-based models through continuous monitoring, predictive analytics, and real-time decision-making. John Deere uses AI and IoT-enabled sensors to monitor equipment performance, soil conditions, and crop health, providing farmers with ongoing insights that improve productivity. Similarly, Schneider Electric applies AI to optimise energy consumption, delivering continuous energy efficiency rather than simply supplying hardware.

Outcome-based models require organisations to remain engaged throughout the customer lifecycle. AI supports this by continuously monitoring performance, identifying potential issues, and enabling proactive interventions. As a result, organisations compete not only on the products they offer but on the measurable outcomes and long-term value they consistently deliver to customers.

Video 4: Competitive Advantage in the AI Era

Competitive advantage in the AI era is increasingly driven by an organisation's ability to leverage data, learn continuously, and build strong digital ecosystems. Rather than relying solely on scale, cost, or brand, leading organisations create advantages through three key capabilities: data moats, speed of learning, and ecosystem control.

Data moats are created by accumulating unique, high-quality data that competitors cannot easily replicate. Tesla demonstrates this by collecting extensive real-world driving data to continuously improve its autonomous driving systems. The depth and quality of this proprietary data provide a significant competitive advantage that is difficult for rivals to match.

Speed of learning is equally important. AI-driven organisations gain an advantage by rapidly improving their models using new data and feedback. Flipkart, for example, continuously refines delivery routes, inventory placement, and demand forecasting through AI, enabling more efficient operations and better customer experiences with every transaction.

Ecosystem control further strengthens competitive advantage by connecting multiple stakeholders through integrated platforms. Apple's ecosystem of devices, software, and services illustrates how controlling the flow of data, user experiences, and developer interactions creates lasting value. Together, data moats, continuous learning, and ecosystem orchestration form a self-reinforcing cycle that enables organisations to adapt quickly, innovate continuously, and sustain long-term leadership in the AI era.

Video 5: Transformation Roadmap Design

Designing an AI transformation roadmap enables organisations to implement AI in a structured and sustainable manner. A key strategic decision is whether to pursue a big-bang transformation or a phased approach. While a big-bang strategy can deliver rapid change, it also introduces greater implementation risk. A phased approach reduces this risk by starting with selected use cases, validating outcomes, and scaling successful initiatives over time.

Siemens illustrates the value of a phased transformation by piloting AI solutions within specific manufacturing operations before expanding them across the organisation. This approach allowed the company to build internal capabilities, refine solutions through practical experience, and reduce the risks associated with large-scale deployment.

Effective roadmaps prioritise AI initiatives based on business impact, technical feasibility, and data readiness. Organisations typically begin with high-impact, low-complexity use cases to generate quick wins, build stakeholder confidence, and create momentum for broader transformation. Every initiative should also align with strategic business objectives, such as improving customer experience, increasing revenue, or reducing operational costs.

A successful AI transformation roadmap combines a clear long-term vision with incremental execution. By sequencing initiatives thoughtfully, continuously learning from implementation, and aligning AI investments with organisational goals, businesses can scale AI effectively while managing complexity. This disciplined approach transforms AI from isolated projects into a sustained source of business value and competitive advantage.

Video 6: Change Management in AI Transformation

Successful AI transformation depends not only on technology but also on people. As AI changes workflows, decision-making, and job roles, organisations must manage resistance, address employee concerns, develop new skills, and communicate a clear vision to ensure successful adoption and long-term value.

Resistance often arises from uncertainty about changing responsibilities or job security. Bosch addressed this challenge by reskilling employees affected by AI-driven automation and transitioning them into higher-value roles such as system supervision and optimisation. Similarly, Microsoft reduced employee concerns by providing AI training programmes that increased understanding of AI tools and demonstrated how they could support, rather than replace, employees in their work.

Closing skill gaps is equally important. AI adoption requires capabilities such as data literacy, digital proficiency, and the ability to interpret AI-driven insights. AT&T illustrates this approach through its large-scale reskilling initiatives, equipping employees with AI and data science skills to support ongoing digital transformation.

Strong leadership communication underpins successful change management. Leaders must clearly explain the purpose of AI adoption, its expected business benefits, and its impact on employees. DBS Bank demonstrated this by consistently communicating its digital-first vision and showing how AI would enhance both customer experience and employee productivity. When organisations combine effective communication with reskilling and employee engagement, they create the trust and capability needed for sustainable AI transformation.

Video 7: Governance and Responsible AI

Governance and Responsible AI ensure that AI systems are not only effective but also fair, transparent, secure, and trustworthy. As AI becomes integral to business decision-making, organisations must address challenges such as bias, privacy, explainability, and risk management to ensure AI is deployed responsibly and ethically.

Bias can arise from historical data, model design, or under-representation of certain groups, leading to unfair outcomes. Organisations such as ZestMoney address this by using alternative data sources and continuously refining their credit scoring models to improve fairness and inclusivity. Protecting privacy is equally important, requiring organisations to collect, store, and process personal data securely while complying with relevant regulations and governance standards.

Explainability is essential, particularly for high-impact decisions in areas such as lending, healthcare, and insurance. AI-driven decisions should be transparent and auditable so that customers, employees, and regulators can understand how outcomes are reached. For example, ICICI Lombard incorporates explainability into its AI-powered claims processing and fraud detection systems to build trust and support regulatory compliance.

Responsible AI requires robust governance frameworks that define policies for data quality, model validation, monitoring, accountability, and risk management. Since AI systems continuously evolve, governance must also be an ongoing process involving regular reviews, audits, and performance monitoring. By combining ethical principles with effective governance, organisations can balance innovation with accountability and build AI systems that support sustainable and trustworthy digital transformation.

Video 8: Understanding the Gartner Hype Cycle

The Gartner Hype Cycle explains how emerging technologies typically progress from initial excitement to widespread adoption. Most innovations move through five stages: the Innovation Trigger, the Peak of Inflated Expectations, the Trough of Disillusionment, the Slope of Enlightenment, and finally the Plateau of Productivity. Understanding this cycle helps organisations adopt AI strategically rather than being driven by short-term hype.

Generative AI provides a clear example of this progression. During the Innovation Trigger and Peak of Inflated Expectations, many organisations rapidly launched AI initiatives with ambitious expectations. However, challenges such as inaccurate outputs, implementation complexity, and regulatory concerns led to a period of disillusionment, highlighting that AI still required human oversight and careful deployment in many business contexts.

As organisations gained experience, AI adoption became more focused and practical. The State Bank of India (SBI) exemplifies this shift by concentrating AI efforts on high-value applications such as fraud detection, transaction monitoring, and intelligent customer assistance through its SIA and YONO platforms. This targeted approach delivers measurable business value by applying AI where it provides the greatest impact.

At the Plateau of Productivity, AI becomes an established operational capability rather than an experimental technology. Delhivery demonstrates this by using AI at scale for route optimisation, demand forecasting, and logistics planning across its network. The key lesson for organisations is to avoid overinvesting during periods of excessive optimism and instead build the data, governance, and operational capabilities needed to achieve sustainable, long-term value from AI.

Video 9: Measuring ROI of AI and Digital Transformation

Measuring the return on investment (ROI) of AI and digital transformation requires a broader perspective than traditional financial evaluation. While cost savings are important, AI also creates long-term value by improving customer experiences, enhancing decision-making, reducing risk, and strengthening organisational capabilities. Effective ROI measurement therefore combines both financial and strategic outcomes.

Cost efficiency is often the most visible benefit of AI. By automating repetitive tasks and optimising operations, organisations can improve productivity and reduce operating costs. Wipro, for example, uses AI-driven automation to streamline service delivery and reduce turnaround times. However, AI also contributes to revenue growth by enabling more personalised customer experiences. Bharti Airtel applies AI to analyse customer behaviour and deliver personalised offers, helping to increase customer engagement and average revenue per user.

AI also generates value by improving decision quality and reducing organisational risk. ICICI Bank uses AI for fraud detection and risk assessment, enabling the identification of suspicious activities that might otherwise go unnoticed. In these cases, ROI is measured not only through financial gains but also through avoided losses, stronger compliance, and increased customer trust.

Because AI systems continuously learn and improve, their value compounds over time. Organisations should therefore measure both short-term operational improvements and long-term strategic indicators such as customer lifetime value, retention, innovation speed, and organisational resilience. A balanced, multi-dimensional approach to ROI provides a more accurate assessment of how AI contributes to sustainable business growth and competitive advantage.

Video 10: Digital Maturity Models

Digital maturity models help organisations understand where they are in their digital transformation journey and identify the steps needed to progress. By assessing capabilities across areas such as technology adoption, data management, customer experience, and organisational culture, these models provide a structured framework for planning and prioritising transformation initiatives.

The first step is to assess the organisation's current state by evaluating existing systems, processes, skills, and digital capabilities. This helps identify strengths and capability gaps. For example, Larsen & Toubro has used structured digital maturity assessments to identify opportunities for expanding predictive maintenance, digital project management, and other advanced digital capabilities across its business units.

Benchmarking is another important aspect of digital maturity. By comparing their capabilities with industry standards and leading competitors, organisations can determine whether they are keeping pace or falling behind. HDFC Bank, for instance, has benchmarked its digital capabilities against global best practices, driving continued investment in mobile banking, AI-powered customer support, and digital onboarding.

Digital maturity is a continuous journey rather than a one-time achievement. As organisations progress from isolated digital initiatives to fully integrated, data-driven operations, they should regularly reassess their maturity, prioritise high-impact initiatives, and adapt their strategies to evolving technologies and business needs. This structured approach enables organisations to achieve sustainable digital transformation while reducing implementation risk.

Video 11: The Future-Ready Enterprise

A future-ready enterprise is defined not by completing a digital transformation programme, but by its ability to continuously adapt and evolve. Rather than treating transformation as a one-time initiative, these organisations embed continuous improvement into their strategies, processes, and operations, enabling them to respond proactively to changing technologies, customer expectations, and market conditions.

Continuous transformation relies on data-driven decision-making, with AI playing a central role in analysing data, identifying patterns, and generating predictive insights. Reliance Retail demonstrated this capability by rapidly strengthening its digital commerce operations during the COVID-19 pandemic, while Delhivery uses AI to optimise route planning, forecast demand, and continuously improve operational efficiency.

In a future-ready organisation, AI is embedded across business functions rather than being deployed as an isolated technology. Tata Motors, for example, integrates AI into its connected vehicle ecosystem to monitor vehicle performance, predict maintenance requirements, and enhance the customer experience. Building these capabilities requires sustained investment in data infrastructure, scalable platforms, skilled talent, and robust governance. Organisations such as Infosys also support enterprise-wide AI adoption through internal AI platforms and continuous workforce upskilling.

A culture of experimentation is equally important for sustaining future readiness. Organisations must continuously test new ideas, learn from outcomes, and refine their approaches using data and AI. Razorpay exemplifies this by regularly experimenting with new products and using AI-driven insights to improve customer offerings. By combining continuous transformation with AI as a core strategic capability, organisations can build the resilience, agility, and innovation needed to remain competitive in an increasingly dynamic business environment.

Video 12: Final Thoughts

Throughout this module, we have explored how AI is reshaping strategy, operations and value creation across organisations. From personalisation and platform business models to servitization and outcome-based offerings, it is clear that AI is not just a technology layer. It is becoming central to how organisations design and deliver value.

We also examined how competitive advantage is evolving. Data, speed of learning and ecosystem control are now critical drivers. At the same time, successful transformation depends on clear roadmaps, agile operating models and strong change management. Organisations such as Infosys and TCS have demonstrated how combining internal capability building with structured transformation approaches can enable scalable AI adoption.

Equally important is the need for responsible and realistic implementation. Governance frameworks, ethical safeguards and an understanding of the technology lifecycle help organisations avoid the hype trap. Measuring ROI through both financial and strategic metrics ensures that AI investments translate into meaningful outcomes.

Finally, the concept of a future-ready enterprise brings these ideas together. Organisations must adopt a continuous transformation mindset and treat AI as a core capability. Companies like Delhivery and Razorpay show how integrating AI into operations and decision-making can drive sustained performance improvement.

In summary, the organisations that succeed will be those that align AI with business strategy, build the right capabilities and continuously adapt to change.